

Retail Equity Research

ICICI Bank

NOT RATED

Sector: Banking

October 18, 2025

Key Changes	Target 		Rating 		Earnings
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame
Bank	—	—	—	—	12 Months

Target	—
CMP	—
Return	—

Data as of: —

Company Data	
Market Cap (Rs.cr)	—
52 Week High — Low (Rs.)	—
Enterprise Value (Rs. cr)	—
Outstanding Shares (cr)	—
Free Float (%)	—
Dividend Yield (%)	—
6m average volume (cr)	—
Beta	—
Face value (Rs.)	—

Q2-2026: Profit After Tax grew 5.2% YoY, asset quality improved

ICICI Bank Limited is an Indian multinational bank and financial services company. It offers a wide range of banking products and financial services for corporate and retail customers through a variety of delivery channels and through its specialized subsidiaries in the areas of investment banking, life and non-life insurance, venture capital and asset management.

- Profit before tax excluding treasury grew by 9.1% YoY to Rs. 161.64 bn in Q2-2026.
- Core operating profit grew by 6.5% YoY to Rs. 170.78 bn in Q2-2026.
- Profit after tax grew by 5.2% YoY to Rs. 123.59 bn in Q2-2026.
- Domestic loans grew by 10.6% YoY and 3.3% QoQ.
- Net NPA ratio improved to 0.39% at Sep 30, 2025 from 0.41% at Jun 30, 2025.
- Provisions decreased by 25.9% YoY to Rs. 9.14 bn in Q2-2026.

Outlook & Valuation

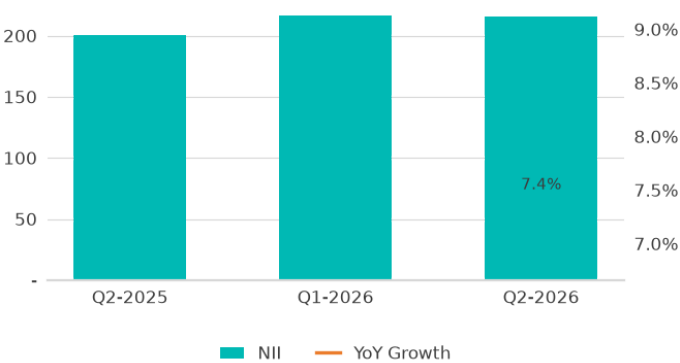
Quarterly Financials

Rs. bn	Q2-2025	Q1-2026	Q2-2026	QoQ (%)	YoY (%)
Net interest income	200.48	216.35	215.29	-0.5	7.4
Non-interest income	64.96	72.64	73.56	1.3	13.2
- Fee income	58.94	59.00	64.91	10.0	10.1
- Dividend income from subsidiaries	5.41	13.36	8.10	-39.4	49.7
- Others	0.61	0.28	0.55	96.4	-9.8
Core operating income	265.44	288.99	288.85	-0.0	8.8
Operating expenses	105.01	113.94	118.07	3.6	12.4
- Employee expenses	41.36	47.43	43.42	-8.4	5.0
- Non-employee expenses	63.65	66.51	74.65	12.2	17.3
Core operating profit	160.43	175.05	170.78	-2.5	6.5
Provisions	12.33	18.15	9.14	-49.6	-25.9
Profit before tax excluding treasury	148.10	156.90	161.64	3.0	9.1
Treasury income	6.80	12.41	2.20	-82.3	-67.6
Profit before tax	154.90	169.31	163.84	-3.2	5.8
Tax	37.44	41.63	40.25	-3.3	7.5
Profit after tax	117.46	127.68	123.59	-3.2	5.2
No. of shares (cr)	177.4	178.3	178.6	—	—
Adj EPS (Rs.)	66.2	71.6	69.2	-3.4	4.5

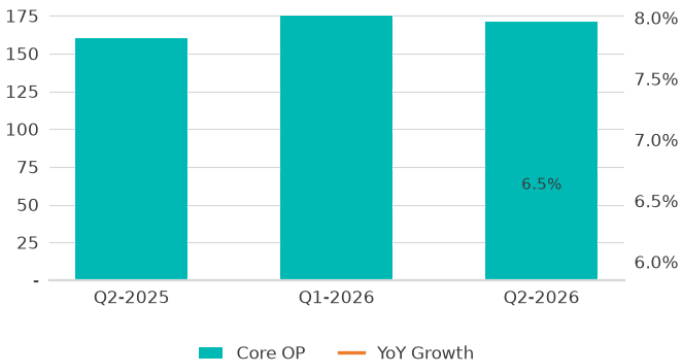
Key highlights

- **Earnings Growth:** ICICI Bank reported a 5.2% YoY growth in Profit After Tax (PAT) to Rs. 123.59 billion for Q2-2026, driven by a 6.5% increase in core operating profit and a significant reduction in provisions.
- **Strong Core Operating Performance:** Core operating profit rose to Rs. 170.78 billion, reflecting healthy underlying business momentum. Net interest income grew by 7.4% YoY, while non-interest income saw a 13.2% YoY increase, primarily due to a 10.1% rise in fee income.
- **Improved Asset Quality:** The bank continued to demonstrate strong asset quality, with the net NPA ratio improving to 0.39% at September 30, 2025, from 0.41% at June 30, 2025. Gross NPAs also declined to 1.58% from 1.67% sequentially.
- **Reduced Provisions:** Provisions significantly decreased by 25.9% YoY to Rs. 9.14 billion in Q2-2026, indicating better credit health and lower anticipated credit losses.
- **Robust Loan Growth:** Domestic loans expanded by 10.6% YoY and 3.3% QoQ, with business banking portfolio showing strong growth of 24.8% YoY. Retail loans grew by 6.6% YoY, maintaining a diversified loan book.
- **Deposit Mobilization:** Total deposits grew by 7.7% YoY and 0.3% QoQ, reaching Rs. 16,128.25 billion. Average deposits increased by 9.1% YoY, with CASA deposits growing by 9.7% YoY, reflecting a stable funding base.

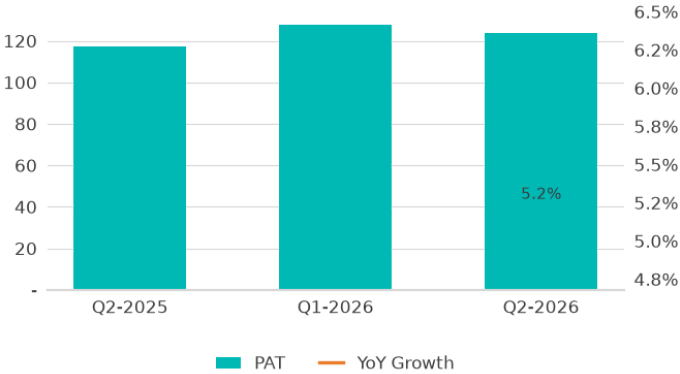
Net Interest Income



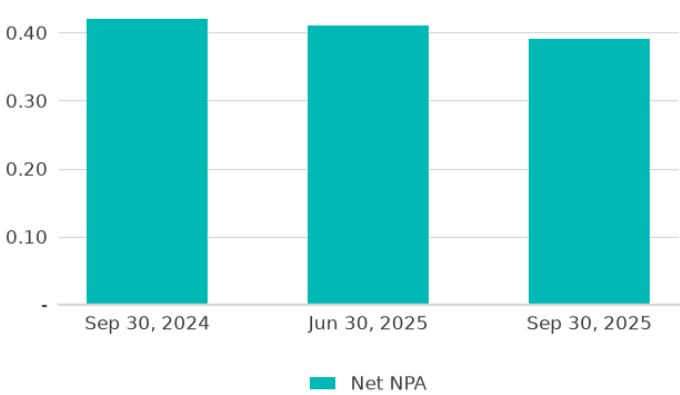
Core Operating Profit



Profit After Tax



Net NPA Ratio



Consolidated Financials

Profit & Loss

Rs. bn	FY2025
Net interest income	811.65
Non-interest income	266.03
- Fee income	238.70
- Dividend income from subsidiaries	26.19
- Others	1.14
Core operating income	1,077.68
Operating expenses	423.72
- Employee expenses	165.41
- Non-employee expenses	258.31
Core operating profit	653.96
Provisions	46.83
Profit before tax excluding treasury	607.13
Treasury income	19.03
Profit before tax	626.16
Tax	153.89
Profit after tax	472.27
No. of shares (cr)	704.9
Adj EPS (Rs.)	67.0

Cashflow

Not disclosed in the source document.

Balance Sheet

Rs. bn	Sep 30, 2024	Jun 30, 2025	Sep 30, 2025
Cash	1,367.99	1,645.98	1,366.81
Investments	4,790.98	5,077.07	4,995.92
Advances	12,772.40	13,641.57	14,084.56
Fixed & other assets	837.21	873.77	915.42
Total Assets	19,768.58	21,238.39	21,362.71
Current Liabilities	-	-	-
Provisions	-	-	-
Debt Funds	1,244.93	1,170.95	1,118.18
Other Liabilities	950.64	919.06	1,001.86
Equity Capital	14.09	14.27	14.29
Res. & Surplus	2,581.31	3,048.94	3,100.13
Shareholder Funds	2,595.40	3,063.21	3,114.42
Deposits	14,977.61	16,085.17	16,128.25
Total Liabilities	19,768.58	21,238.39	21,362.71
BVPS	368.3	429.3	436.0

Ratios

Percent	FY2025	Q2-2025	Q1-2026	Q2-2026
Profitab. & Return				
Net interest margin	4.32	4.27	4.34	4.30
Cost-to-income	38.6	38.6	37.8	40.6
Return on average assets	2.40	2.39	2.44	2.33
Standalone return on equity	17.9	18.1	17.1	16.0
Yield on total interest-earning assets	8.69	8.63	8.61	8.34
Yield on advances	9.76	9.73	9.53	9.29
Cost of funds	5.10	5.09	5.02	4.78
Cost of deposits	4.91	4.88	4.85	4.64
Provisions/core operating profit	7.2	7.7	10.4	5.4
Provisions/average advances	0.36	0.38	0.53	0.26
Valuation				
P/BV (x)	410.1	368.3	429.3	436.0

Recommendation Summary

No price history available.

Dates	Rating	Target
No prior recommendation history		

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0%-10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/Sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%
Not rated/Neutral	-	-	-

Definitions: Buy: Acquire at the current market price (CMP), with the target mentioned in the note. Accumulate: Partial buying, or accumulate as the CMP dips in future. Hold: Hold the stock with the expected target mentioned in the note. Reduce: Reduce exposure to the stock due to limited upside. Sell: Exit the stock. Not rated/Neutral: The analyst has no investment opinion on the stock.

Symbols: ▲ Upgrade ● No Change ▼ Downgrade

Recommendations are based on a 12-month horizon unless otherwise specified. Investment ratings are on an absolute positive/negative return basis. Because of volatility in the near to medium term, there could be a temporary mismatch to a rating; for reasons of valuation, return or lack of clarity we may revisit the rating at an appropriate time. A stock always carries the risk of being upgraded or downgraded.

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